

Airbnb fined A\$15m for misleading Australian customers

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Airbnb has been fined A\$15m and has agreed to pay compensation after it was found to have misled around 63,000 Australian customers.

The prices of some lettings on the firm's website were in US dollars rather than the lower value Australian dollars - but this was not made clear initially.

It meant some customers paid more than expected for their accommodation.

Airbnb has apologised and said it is committed to "price transparency".

The fine was handed down by Australia's Federal Court on Wednesday after Airbnb admitted making false or misleading representations to Australian users between January 2018 and August 2021.

The short-stay rentals firm has also agreed to pay compensation to those affected, which could add up to a further A\$15m.

'Strong signal'

For some lettings on the Airbnb website, customers in Australia saw a price initially displayed with the dollar sign but no mention of this being a US dollar figure.

This remained the case until the final booking screen, when USD was displayed in a small font.

The issue is believed to have affected 70,000 bookings and 63,000 consumers. Airbnb received more than 2,000 complaints from Australian consumers raising concerns about being charged in US dollars and the court found some of these consumers had been told they had selected for prices to be in US dollars, when in fact they had never made that selection.

The Australian Competition and Consumer Commission, which brought the case, said customers should have been shown prices in Australian dollars, unless they had manually chosen to see the cost of their booking in another currency.

The commission said the fine sent "a strong signal to large digital platforms like Airbnb that they must comply with the Australian Consumer Law and not mislead consumers".

The commission's chair, Gina Cass-Gottlieb, said: "Affected consumers ultimately paid significantly more than they expected to pay because of the prevailing USD/AUD exchange rate at the time.

"Some users also paid additional charges to their banks as a result of paying in a foreign currency."

She said customer eligible for compensation should be contacted by Airbnb in the next 45 days but people can contact the company if they believe they might have been affected and have not heard from them by that date.

Airbnb, which operates around the world, said it has since changed how prices are displayed for countries that use dollars, with a three-letter code denoting the currency displayed throughout.

Susan Wheeldon, Airbnb's country manager for Australia and New Zealand, apologised and said while only a "small percentage" of Australian users were believed to have been impacted the company was "disappointed that happened".

She said the problem had been rectified and added: "It is important to note that the final payment amount clearly displayed the applicable currency code, including in USD, at the point at which guests confirmed they wanted to proceed with the booking."

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Airbnb

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